

Make the Most of Your 401(k) or Company Plan

Since the company retirement plan is the most common way millionaires build wealth, let's break down how to use it to get the biggest bang for your investing buck. These rules generally apply to the 401(k) as well as other company-sponsored plans, such as the 403(b) you might have in a medical or nonprofit profession.

First, sign up for your 401(k) plan's automated paycheck withdrawals. Company-sponsored retirement plans like the 401(k) make it easy to contribute, because the investment comes right out of your paycheck. You never bring the money home, so you don't feel like it's missing. It happens automatically behind the scenes, so you can set it and forget it. In fact, 91% of 401(k) investors report the payroll deduction makes it easier for them to save.³² This is especially powerful if you're able to participate in a 401(k) immediately when you start a new job. Just set up your contribution to start with your first paycheck, and you'll never miss it—even though it'll be automatically building your future millions one paycheck at a time.

Second, if your company offers a Roth 401(k) option, you should take it. The Roth 401(k) allows your money to grow *tax-free*, which should be your favorite phrase. It costs a little more on the front end because your Roth 401(k) investment uses after-tax dollars. The tradeoff, though, is that you won't pay a penny in taxes when you pull the money out at retirement. So basically, you're paying taxes on \$100 today to avoid paying taxes on \$1 million later. That's a good deal. This one option could literally save you hundreds of thousands of dollars in retirement, so don't miss it. When you see the word *Roth*, just say yes.

Third, if your company offers a 401(k) match, take it. I don't want to hear any excuses about this one. Think about it: your employer is actually offering you free money. If you make \$50,000 a year and your company offers a 4% match, that's an extra \$2,000 per year you could put toward wealth building. Why on earth would you not take that? That \$2,000 per